

**Dominance can
move when
ultimate-pair
activity moves.**



**Centre for Blockchain
Technologies**

The Making of Dominant Vehicle Currencies

Evidence from DeFi
Jiahua Xu

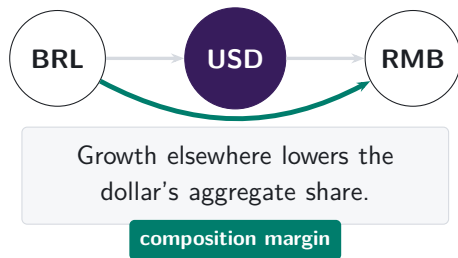
Dominance changes when bilateral trading activity moves

TRADITIONAL-FINANCE INTUITION

A treasury desk keeps routing one thin bilateral relationship through dollars while aggregate dollar share falls.

Growth in other bilateral relationships changes the denominator while this relationship keeps using dollars.

Note: The clearing example is an analogy for the denominator problem. The empirical object in this paper is the intermediary asset observed inside DEX pool routes.

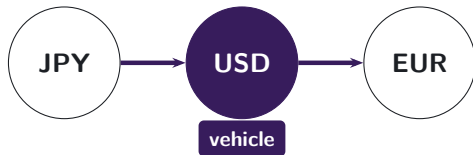


Vehicle currencies are routes

FX ANALOGY

Yen–euro may trade through dollars.

Atomic-pair turnover data show two legs,
not the customer route.



Pool logs reveal the path.

DEX data make the hidden route observable.

Note: Traditional FX records show turnover in each atomic currency pair, but not whether two legs belong to one customer route. The DEX setting preserves the transaction-level pool path, so the intermediary asset is observed directly.

The PYUSD swap reaches a USDC-funded pool route

USER INSTRUCTION RECORDED BY THE EXPLORER

Transaction details # 0x

⚡ Swap 460.00K  PYUSD for 460.10K  USDE on 0x  0x

THE DECISIVE SETTLEMENT TRANSFERS

 USDC

ERC-20 **Transfer**

 Market Maker: 0x51c7.....  →  Mainnetsettler 

 USDC

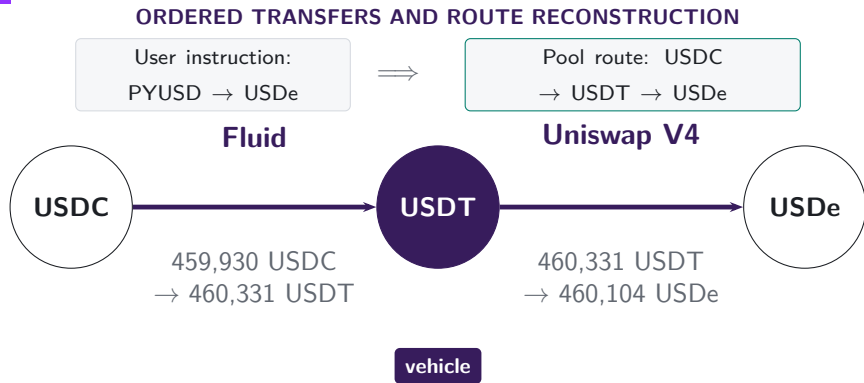
ERC-20 **Transfer**

 Mainnetsettler  →  Fluid: Liquidity 

The instruction is PYUSD → USDe. The maker supplies the USDC used by the Fluid leg, which begins the connected pool route.

Note: The explorer screenshot and transfer trace refer to transaction 0xbda1d07f...9bf67ad9 on 10 January 2026.

Inside the pools, USDT links USDC to USDe



The observed ultimate trade is USDC → USDe. Its atomic trades are USDC → USDT and USDT → USDe; USDT is the vehicle that links them.

Note: The route is the connected pool-swap component of transaction 0xbda1d07f...9bf67ad9 on 10 January 2026.

Vehicle dominance is the share of indirect trade carried by an asset

MEASUREMENT

- Dominance is the share of indirect trade intermediated by asset k .
- Count share treats each route equally; value share weights routes by dollar value.



Count-weighted dominance

Share of indirect routes that pass through k

Value-weighted dominance

Share of comparable routed value that passes through k

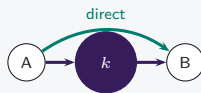
Architecture changes routing opportunities

V1 mandatory hub



Hub use is imposed

V2 atomic-pair choice



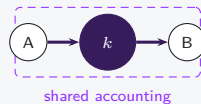
Hub use becomes a
choice

V3 range choice



Atomic-pair
opportunities shift

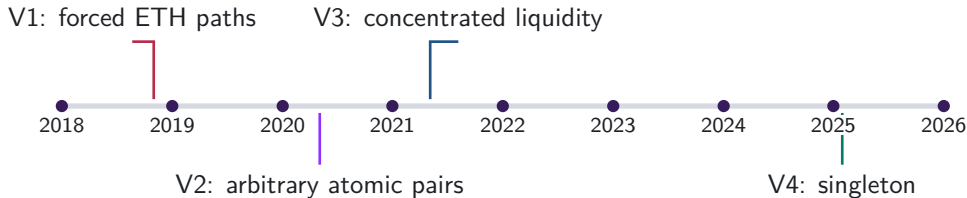
V4 net settlement



Settlement differs
from route use

The route sample and architecture supplement answer different questions

DATA



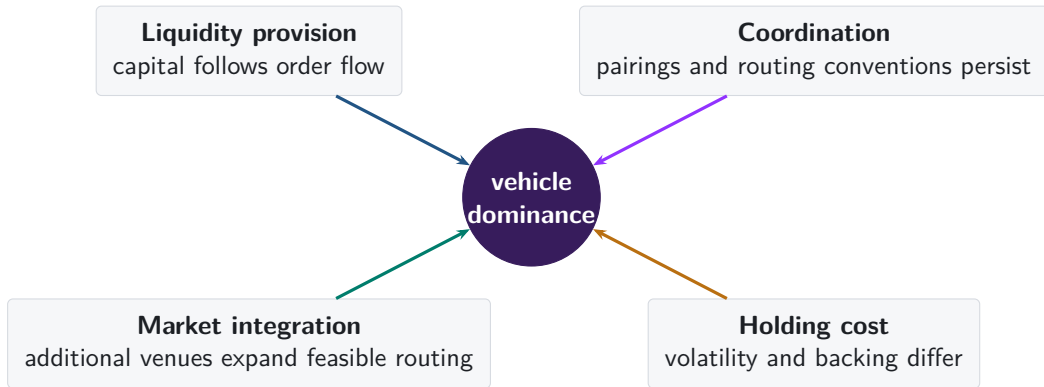
Main route sample

Atomic trades are linked within each transaction across the V2, V3, V4, Curve, and Balancer route perimeter.

V1/V2 architecture supplement

V1 forced-ETH paths and V2 atomic-pair formation isolate how protocol rules shape available routes.

Why might one asset become the dominant vehicle?



Native-asset pairing persists after it becomes optional

V1: PROTOCOL RULE



**217,003 token-to-token trades
pass through ETH**

Every pool is an ETH–token atomic pair,
so the architecture imposes the vehicle.

V2: MARKET CHOICE

95.5%

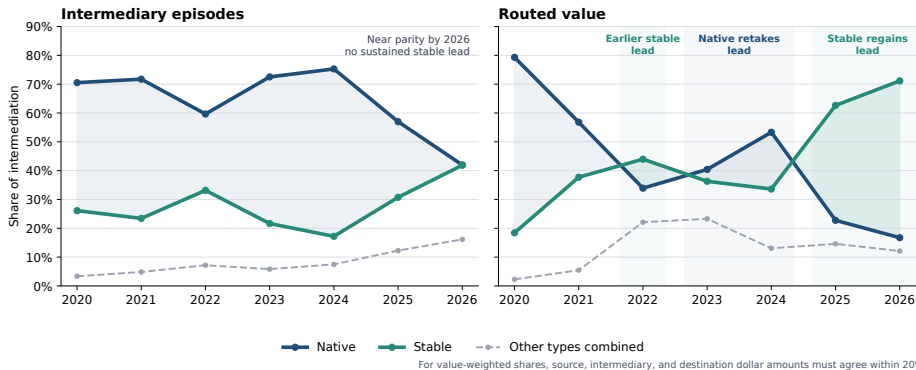
of single-leg V2 trades use a WETH
pool in 2026

97.9%

of ultimate pairs first traded in 2026
include WETH

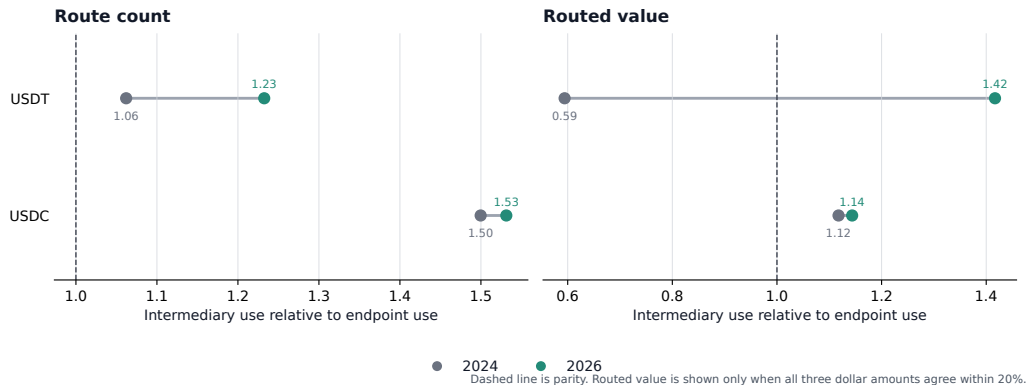
Note: V1 links token-to-ETH and ETH-to-token swaps within one transaction. V2 reports single-leg trades and newly traded ultimate pairs on that venue.

Stablecoins regain the routed-value lead



Note: Exact two-atomic-trade routes. Count weights every route equally; value requires agreement among source, intermediary, and destination dollar values. The 2026 endpoint covers January through June.

USDT carries the stablecoin expansion



USDT crosses parity by routed value and extends its count advantage; USDC changes little.

Note: Excess use divides intermediary share by route-endpoint share on the same perimeter. The figure compares the same January through June dates in 2024 and 2026.

Currency demand and vehicle use are compared within day

$$I_{a,t} = \alpha + \beta D_{a,t} + \mathbf{A}'_a \theta + \mu_t + \eta_a + \varepsilon_{a,t}$$

$I_{a,t}$ intermediary episode share

μ_t date effects

$D_{a,t}$ own endpoint-demand share

η_a currency effects

$\mathbf{A}_a$ asset-class indicators

SE clustered by date and currency

Note: Outcome and demand are shares of the same day's route universe, measured in percentage points (pp). The estimates are descriptive within-day associations.

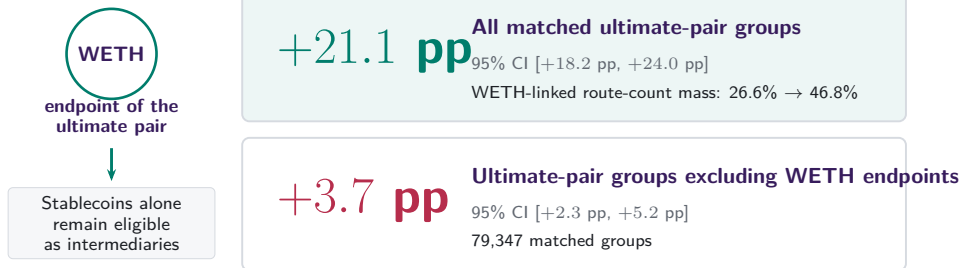
Endpoint demand tracks vehicle use across currencies

	Intermediary share ($I_{a,t}$) [pp]			
	(1) Pooled	(2) Date FE	(3) + demand	(4) + currency FE
Native currency	+34.56 (23.04)	+34.55 (23.04)	+0.05 (0.56)	— —
Stablecoin	+2.42* (1.32)	+2.42* (1.32)	+0.85* (0.50)	— —
Endpoint-demand share ($D_{a,t}$)	— —	— —	+1.59*** (0.03)	+0.98*** (0.30)
Date fixed effects	No	Yes	Yes	Yes
Currency fixed effects	No	No	No	Yes

Endpoint-demand share passes through almost one for one after both fixed effects.

Note: 1,828,862 currency-days; 2,259 dates; currency/date-clustered standard errors. Class coefficients are percentage-point differences; the demand coefficient is percentage points of intermediary share per percentage point of endpoint-demand share. Asterisks *, **, and * * * denote significance at 10%, 5%, and 1%, respectively.

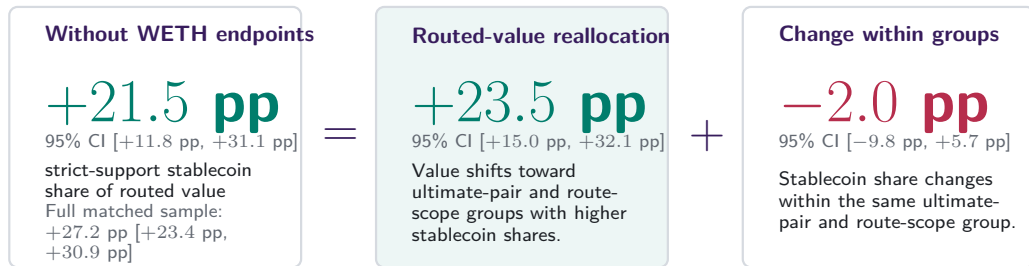
WETH-linked ultimate pairs carry the count rotation



Fixed-ultimate-pair changes are +0.2 pp overall and +0.3 pp without WETH endpoints.

Note: Exact two-atomic-trade native-WETH-versus-stablecoin routes on common month-days. Confidence intervals use calendar HAC; within-ultimate-pair estimates fix ultimate pair, month-day, and route scope.

Trading shifts toward stablecoin-heavy ultimate pairs



Note: The daily midpoint identity is exact after removing WETH endpoints. Routed value requires agreement among source, intermediary, and destination dollar values.

In 2024, stablecoins carry 16.9% of routed activity

EXACT POOLED DECOMPOSITION, 2024 TO 2026

2024 **16.9%**

The baseline is the stablecoin share of intermediary episodes in the common-day route universe.

Note: Exact allocation on common calendar days. The remaining support-mass term is -0.5 pp; components sum using unrounded values. Ultimate-pair reallocation holds intermediary shares at their midpoint.

By 2026, stablecoin vehicle share reaches 42.5%

EXACT POOLED DECOMPOSITION, 2024 TO 2026

2024 **16.9%** → 2026 **42.5%** +25.7 pp
aggregate rotation

Continuing ultimate pairs

−0.1 pp within-ultimate-pair choice

+8.6 pp activity reallocation

The +25.7 pp endpoint rotation includes −0.1 pp from intermediary switching and +8.6 pp from activity reallocation.

Note: Exact allocation on common calendar days. The remaining support-mass term is −0.5 pp; components sum using unrounded values. Ultimate-pair reallocation holds intermediary shares at their midpoint.

New ultimate pairs deliver the largest positive margin

EXACT POOLED DECOMPOSITION, 2024 TO 2026

2024 **16.9%** → 2026 **42.5%** **+25.7 pp**
aggregate rotation

Continuing ultimate pairs

-0.1 pp within-ultimate-pair choice

+8.6 pp activity reallocation

Ultimate-pair entry and exit

+21.0 pp newly traded ultimate pairs

-3.3 pp ultimate-pair exit

Ultimate-pair entry is the largest positive margin in the count rotation.

Note: Exact allocation on common calendar days. The remaining support-mass term is -0.5 pp; components sum using unrounded values. Ultimate-pair reallocation holds intermediary shares at their midpoint.

Local bridge depth predicts route choice

84.1%

route share captured by
the deepest bridge

**75.5% →
86.5%**

deepest-bridge share,
2024 to 2026

+6.79 pp

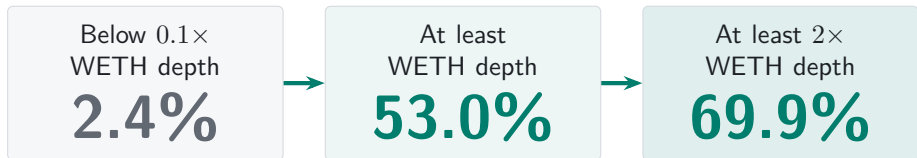
route-share slope after
network-reach controls

The weaker atomic leg carries the economically relevant depth constraint.

Note: The analysis compares five potential vehicle assets within locally supported endpoint-date-route-scope sets. Depth is prior deposited capital on the weaker atomic leg; standard errors cluster by ordered ultimate pair and date.

Stablecoin penetration rises with relative bridge depth

FIRST 30 DAYS AFTER STABLE-BRIDGE AVAILABILITY



+6.41 pp

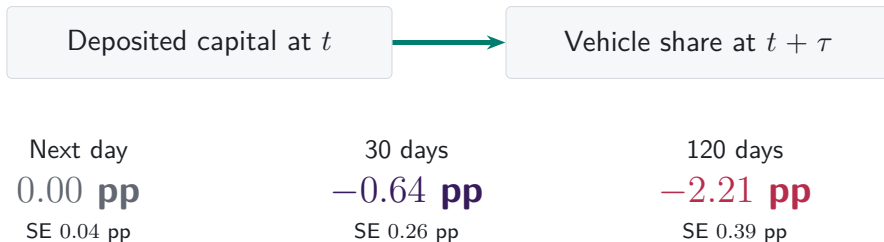
stable-route-share slope per +10 pp of relative depth

SE 0.70 pp

Availability opens the route set; relative depth determines penetration.

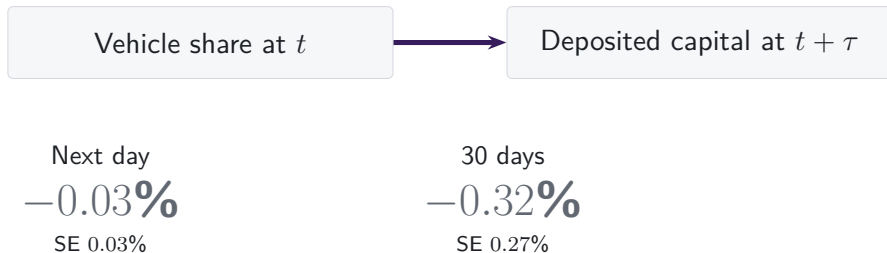
Note: 11,327 first-month ordered-ultimate-pair days across 855 bridge events. Thresholds compare the best stablecoin two-atomic-trade bottleneck with WETH using prior-calendar deposited capital. The slope uses stablecoin share of joint stablecoin-plus-WETH bottleneck depth, absorbs event, event-age, and calendar-month effects, and clusters by ordered ultimate pair and date. Deposited capital is a reserve stock, not executable route cost.

Higher capital predicts lower vehicle use at longer horizons



Note: Daily panel of five vehicle assets over 2,238 V2 dates. Regressions absorb asset and date effects and use calendar-HAC inference. Coefficients are predictive associations.

Vehicle use barely changes subsequent capital



The smallest Holm-adjusted probability across the reciprocal short-horizon tests is 0.17.

Note: The same five-asset daily panel absorbs asset and date effects. Capital is V2 deposited reserves; provider flows and concentrated-liquidity depth are separate quantities.

Formation and local depth make stablecoins dominant vehicles

- 1 Entry vehicle identity remains persistent in follow-up.**
Descriptive 120-day own-stable share: USDC 88.3%; USDT 87.7%.
- 2 Local liquidity formation makes route leadership contestable.**
Stable route share: 2.4% below 0.1 $\times$ WETH depth; 69.9% above 2 $\times$.
- 3 Newly traded ultimate pairs supply the largest margin.**
Entry: +21.0 pp; continuing-ultimate-pair reallocation: +8.6 pp.

Dominance forms through ultimate-pair entry; local liquidity keeps it contestable.

Appendix map

Definitions and data

- A1 Route units and vehicle status
- A2 Asset types and backing regimes
- A3 Sample construction and exclusions

Reconstruction and validation

- A4 Exact transaction state
- A5 Protocol-specific state
- A6 Forced routes in V1

Robustness

- A7 Timing and venue-scope robustness
- A8 Count and value weighting
- A9 Observed route endpoints

Mechanisms

- A10 Capital, inventory, and depth
- A11 Coordination and integration
- A12–A13 References

A1. One reconstructed route is one unit



one route unit
two swap legs

- Each linked $i \rightarrow k \rightarrow o$ route is counted once.
- Asset k is classified as the intermediary on that route.
- Dominance is the share of route units or supported value carried by k .

How we reconstruct a route from one transaction

Direct swap

one transaction



Sequential vehicle route

one transaction



Parallel split

one transaction



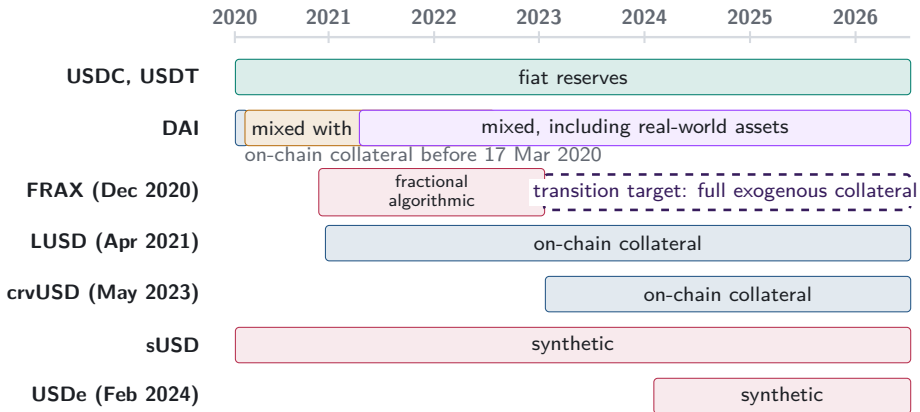
Round trip

one transaction



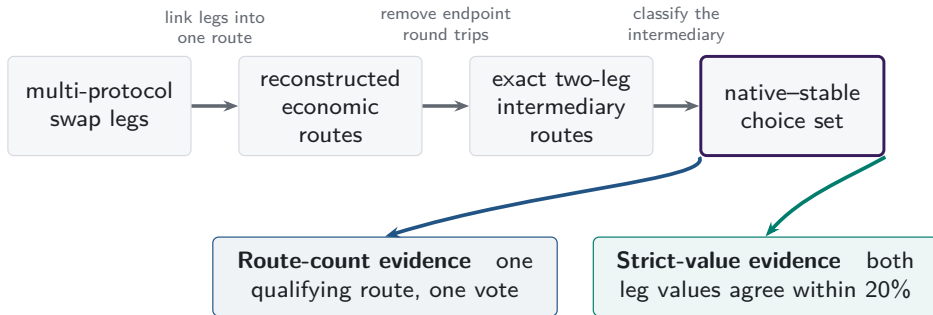
Vehicle choice directs indirect order flow toward particular assets and pools. Transaction-level paths reveal that choice rather than leaving it inside aggregate turnover.

A2. Stablecoin backing changes over time



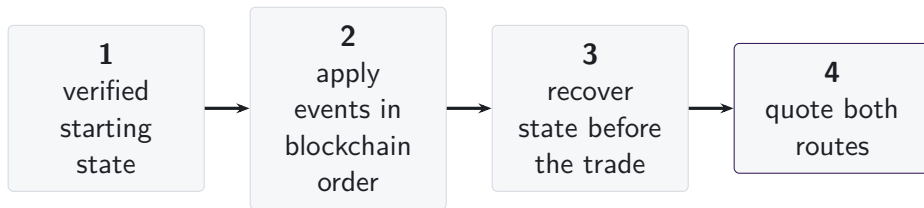
Note: Bars begin at public launch or the sample start for older tokens. DAI's dated regimes follow the Maker Governance actions that added USDC-A and activated RWA001-A. FRAX's dashed arrow follows FIP-188 and denotes a target, not observed collateral.

A3. One route universe supports two measurements



Atomic pairs inside multi-asset pools can supply route legs. V1/V2 architecture evidence is separate; dollar support changes value weighting.

A4. State is reconstructed immediately before execution



- Pool events are applied in blockchain order from a verified starting state.
- Each route is quoted using the pool state immediately before the transaction.
- Missing state intervals are excluded, and their share of trading volume is reported.

A5. Each AMM family has a different state vector

	reserves or active liquidity	ticks	amplification	weights or scaling	rates or oracles	fees	hook-dependent pricing
Constant product	■	—	—	—	—	■	—
Concentrated liquidity	■	■	—	—	—	■	—
StableSwap families	■	—	■	—	■	■	—
Weighted pools	■	—	—	■	■	■	—
V4 singleton	■	■	—	—	—	■	□

Executable-quote validation

■ recovered pricing input

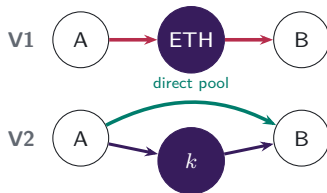
□ hook-dependent pricing unavailable

Protocol mechanisms studied

V4 singleton flash accounting and netting remain in scope; A5.3 shows the settlement mechanism.

A5.1. Atomic-pair creation determines available paths

V1 PROTOCOL RULE $\rightarrow$ V2 MARKET CHOICE



V1 admits only ETH-token atomic pairs. V2 permits any ERC-20 atomic pair, so market creation determines whether direct and vehicle paths coexist.

Which paths exist?

Economic implication: pool creation changes the feasible route set.

A5.2. Executable depth comes from active liquidity

V3 CONCENTRATED-LIQUIDITY POSITIONS



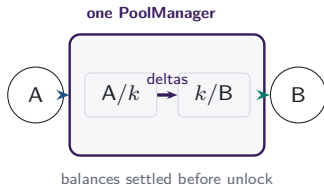
LPs choose a price range and fee tier for each atomic pool.
Positions covering the current price determine active liquidity
in the direct pool and each vehicle spoke.

Which path offers depth at this trade size?

Economic implication: executable depth is path- and size-specific.

A5.3. Shared accounting moves route settlement

V4 SINGLETON AND LOCK ACCOUNTING



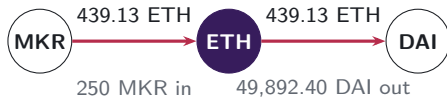
One PoolManager holds all pools. During a lock, the two atomic trades update balance deltas; the caller settles its obligations before the lock ends.

Where is the route settled?

Economic implication: shared accounting changes the settlement boundary.

A6. V1 forced routes have an on-chain signature

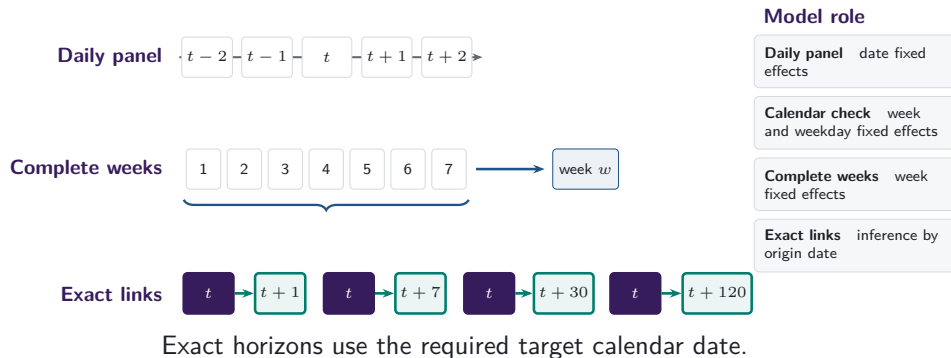
- Token-to-token execution emits two linked swaps through ETH.
- Matching ETH quantities distinguish protocol-imposed intermediation from unrelated bundled swaps.
- 129,810 mandate-era token-to-token transactions carry exactly matching ETH legs; the trace shows the largest.



same transaction, matching ETH flow

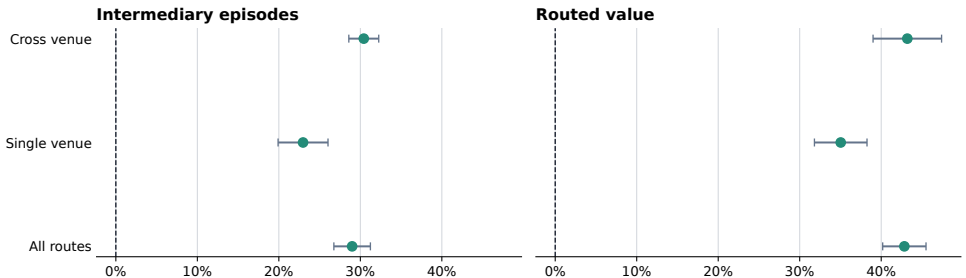
Note: Both legs of transaction 0x4dca160d...96a0ca16 (15 March 2020, block 9,674,728) report the same ETH amount to the last recorded digit.

A7. Daily and weekly frequencies answer different questions



A7b. Stablecoin use rises within every venue scope

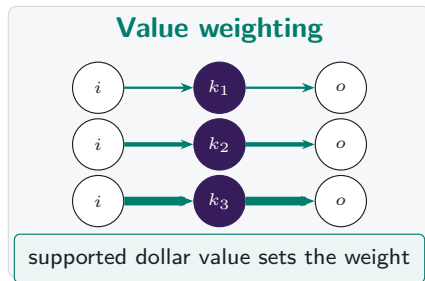
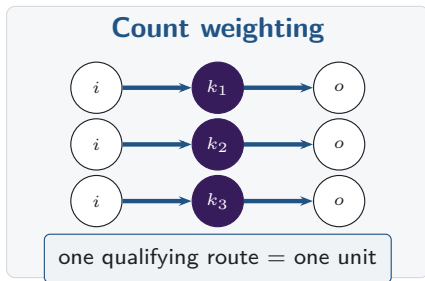
Stable share rises within realised route scopes



Points are 2024-to-2026 changes; bars are 95% HAC intervals.

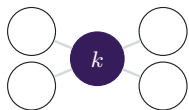
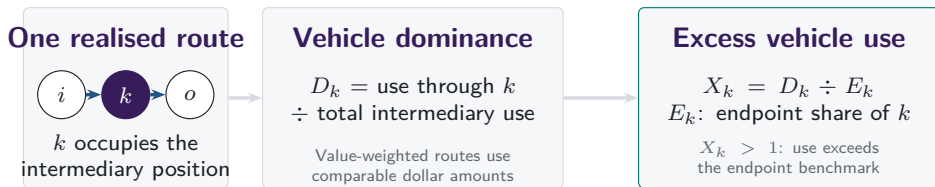
Note: Changes compare matched January-through-June dates in 2024 and 2026. Bars show calendar-HAC confidence intervals; venue scope records realised routes.

A8. Count versus value weighting

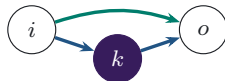


Note: Both panels contain the same routes. Line widths are illustrative, and value weighting applies only on the stated valuation-support band.

Vehicle dominance aggregates realised intermediary choices



Network position



Execution cost

Endpoint use is the benchmark; network position and same-state cost remain separate.

A9. Intermediary and route-endpoint use are separate

Intermediary share

$$I_{k,t}^N = \frac{n_{k,t}^I}{\sum_j n_{j,t}^I}$$

How often asset k sits inside a route.

Endpoint share

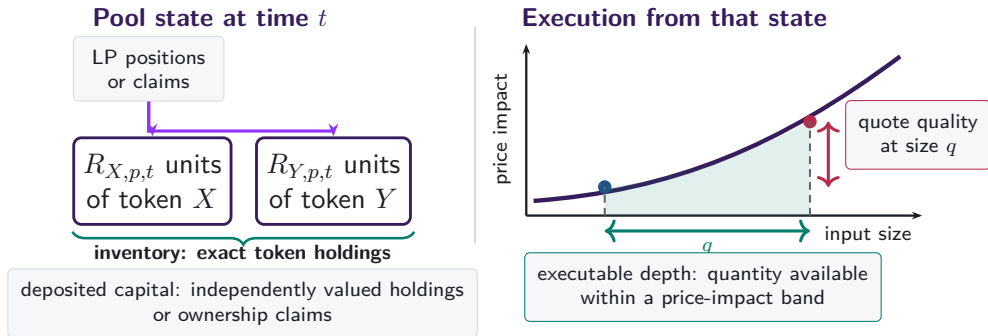
$$E_{k,t}^N = \frac{n_{k,t}^E}{\sum_j n_{j,t}^E}$$

How often asset k appears at either end of the observed pool route.

Observed pool-route endpoints supply the benchmark.

Excess use compares intermediation with observed route-endpoint use on the same support.

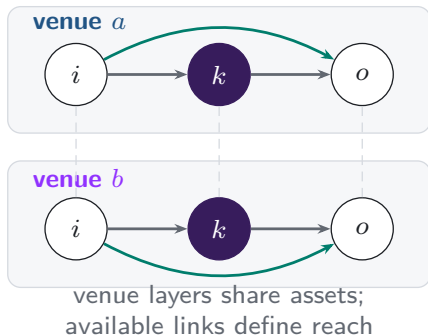
A10. Capital, inventory, and depth differ



Depth and quotes vary with size and state.

A11. Additional venues expand the feasible route set

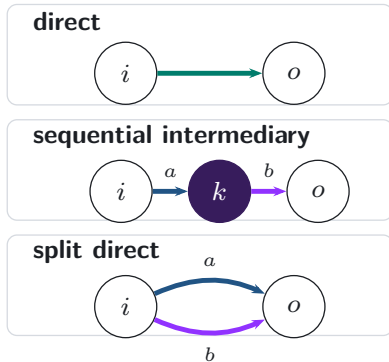
Feasible venue layers



realised
execution

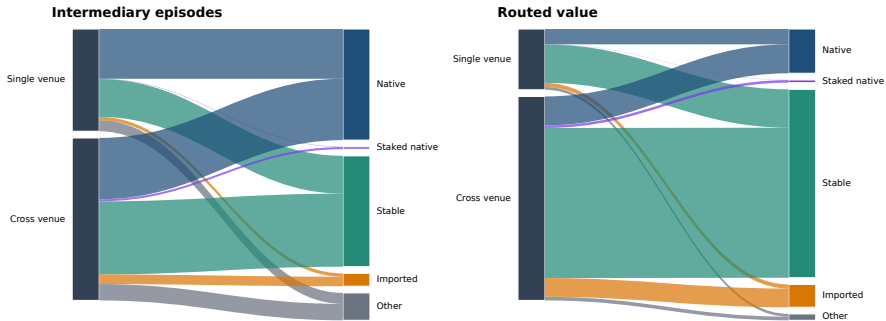


Realised route topology



A11b. Venue scope and vehicle type differ in 2026

Integration and vehicle composition are separate margins in 2026



Ribbon width is the share of 2026 intermediation jointly classified by venue scope and intermediary type.

Note: Ribbon width is the share of 2026 intermediation jointly classified by venue scope and intermediary type.

A12. References: vehicle currencies and market structure

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A13. References: decentralised exchange design

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